

Product Type: Fixed Deposit (Time Deposits)

- **Primary Purpose:** Capital preservation and predictable returns¹.
- **Risk Level:**
 - **Low:** Principal and interest are guaranteed by the bank and insured by DICGC up to ₹5,00,000²².

- **Suitable For:**
 - Risk-averse investors seeking safety³.
 - Lump sum parking of funds for specific tenures (7 days to 10 years)⁴⁴⁴.

 - Tax planning (via 5-year Tax-Saving FDs)⁵⁵.

- **Not Suitable For:**
 - Investors requiring very high liquidity without penalties⁶.
 - Investors seeking market-linked equity growth.
- **Key Risks:**
 - **Inflation Risk:** Returns may not always exceed inflation.
 - **Reinvestment Risk:** Rates may drop at the time of renewal.
 - **Liquidity Risk:** Premature withdrawal incurs interest rate penalties⁷.
- **Advisory Restriction:**
 - Rates are determined by the bank's ALCO and are subject to change⁸.

FIXED DEPOSIT POLICY (TIME DEPOSITS)

1. Purpose & Objective

- The objective of this policy is to provide a structured framework for the mobilization of "Time Deposits" (Fixed Deposits)⁹.
- A Fixed Deposit (FD) is a lump sum deposit made by a customer for a pre-determined, specific tenure at a fixed rate of interest, offering safety and predictable returns¹⁰.

2. Eligibility & Account Opening Guidelines

- **Eligible Entities:** Resident Individuals (sole or joint), Minors (through natural/legal guardians), Hindu Undivided Families (HUF), Partnership Firms, and Corporates¹¹.
- **KYC Mandate:** No FD shall be opened without the completion of the "Know Your Customer" (KYC) process, requiring officially valid documents (OVD) like Aadhaar and PAN Card¹².
- **Nomination:** As per Section 45ZA of the Banking Regulation Act, 1949, nomination is mandatory for all individual accounts to ensure seamless settlement for legal heirs¹³.

3. Tenure & Deposit Range

- **Minimum Tenure:** 7 Days¹⁴.
- **Maximum Tenure:** 10 Years¹⁵.
- **Minimum Deposit Amount:** ₹1,000 (standard), though specific "High Value" or "Bulk Deposits" may have higher entry thresholds (e.g., ₹2 Crores)¹⁶.

4. Interest Calculation & Compounding Policy

- **Interest Rates:** Determined by the bank's Asset-Liability Committee (ALCO) based on prevailing market conditions and RBI Repo Rate trends¹⁷.
- **Compounding:** Interest is typically compounded quarterly for tenures of 6 months and above¹⁸.
- **Simple Interest:** For tenures less than 180 days, simple interest is applied at maturity¹⁹.
- **Senior Citizen Benefit:** Resident individuals aged 60 and above are eligible for an additional interest rate (typically 0.50% to 0.75%) over the standard public rates²⁰.

5. Premature Withdrawal & Penalties

- The bank allows the liquidation of deposits before the contracted maturity date, subject to specific rules²¹.
- **Interest Rate Payable:** The rate paid will be the interest rate applicable for the period the deposit has actually remained with the bank, not the original contracted rate²².
- **Penal Charge:** A penalty of 0.5% to 1.0% is deducted from the applicable interest rate²³.

- **System Validation:** The Core Banking System (CBS) must automatically calculate the penalty at the time of closure to ensure zero manual error²⁴.

6. Tax-Saving Fixed Deposit Guidelines

- **Lock-in Period:** Mandatory 5 years²⁵.
- **Withdrawal Policy:** No premature withdrawal, partial withdrawal, or loan/overdraft facility is permitted against these deposits during the 5-year period²⁶.
- **Tax Benefit:** Eligible for tax deduction under Section 80C of the Income Tax Act, 1961 (up to ₹1.5 Lakhs per financial year)²⁷.
- **Eligibility:** Available only to Individuals and HUFs²⁸.

7. Compliance & Regulatory References

- **RBI Master Directions:** All deposit products are governed by the RBI Master Directions on Interest Rates on Deposits²⁹.
- **Taxation (TDS):** Tax is deducted at source if the total interest across all bank branches exceeds ₹40,000 (₹50,000 for senior citizens)³⁰.
- **Exemption:** Customers may submit Form 15G/15H to claim exemption³¹.
- **DICGC Coverage:** Every depositor is insured by the DICGC for a maximum of ₹5,00,000 (Principal + Interest) per bank in case of bank failure³².

8. Record Keeping & Reporting

- **FD Advice/Certificate:** Every deposit must be evidenced by a physical or digital FD Advice containing details of the Principal, Interest Rate, Maturity Date, and Nominee³³.
- **Audit Trail:** All modifications to FD accounts (e.g., change in nominee or renewal instructions) must maintain a clear audit trail in the bank's digital records³⁴.

APPENDIX: SAMPLE TENURE SLABS & PENALTY CALCULATION

Tenure Slab	Standard Rate (p.a.)	Senior Citizen Rate (p.a.)
7 - 45 Days	3.50%	4.00%
1 Year - 2 Years	6.75%	7.25%
5 Years (Tax Saver)	7.00%	7.50%

Premature Withdrawal Example ³⁵:

1. A customer books an FD at 7% for 2 years³⁶.
2. They close it after 1 year³⁷.
3. The rate for a 1-year tenure at the time of booking was 6%³⁸.
4. The bank will pay 6% minus 1% penalty = **5%** for the 1-year duration³⁹.